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**PROGRESS REPORT OF THE AFRICAN CONTINENTAL FREE
TRADE AREA (AFCFTA)**

**PROGRESS REPORT ON THE IMPLEMENTATION OF THE AFRICAN
CONTINENTAL FREE TRADE AREA (AfCFTA) TO THE EXECUTIVE COUNCIL**

REPORT OF THE SECRETARY-GENERAL

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INTRODUCTION

1. This report provides an update on developments in the African Continental Free Trade Area (AfCFTA) for the period February to July 2025, highlighting key achievements and progress since the last update in February 2025. It is structured around four main sections:

- **Section One:** The status of ratifications and outstanding negotiations;
- **Section Two:** The status of AfCFTA implementation;
- **Section Three:** Stakeholder/ private sector engagements and collaboration with RECs; and
- **Section Four:** Outcomes of the Council of Ministers Meeting.

SECTION ONE: STATUS OF RATIFICATIONS AND OUTSTANDING NEGOTIATIONS

A. STATUS OF RATIFICATIONS

2. As of July 2025, 49 out of 54 signatory Member States have ratified the AfCFTA Agreement and submitted their instruments of ratification to the African Union Commission (AUC). The State of Eritrea has yet to sign the Agreement to complete its full continental subscription to the Agreement. Of the 54 States that have signed the Agreement, five, namely Benin, Libya, Somalia, South Sudan, and Sudan, have yet to ratify it.

B. PROTOCOL ON TRADE IN GOODS

i. Market Access

3. To date, significant progress has been achieved on market access. To this end, 49 Provisional Schedules of Tariff Concessions (PSTCs) have been submitted, and 48 of them have been adopted. However, six countries (Libya, Sudan, Eritrea, Somalia, Djibouti, and the Sahrawi Republic) have yet to submit offers. Meanwhile, Sao Tome & Principe's tariff offer is undergoing technical verification by the Secretariat. By virtue of being a member of the EAC, the Republic of Somalia is expected to provide feedback on the consideration of the potential adoption of the East African Community (EAC) tariff offer.

4. Of the 48 verified and adopted offers, only 17 State Parties have submitted full Schedules of Tariff Concessions (STCs) covering Categories A, B, and C. Most of the remaining 31 are Category A only, mainly from Customs Unions (EAC, ECOWAS, SACU). Tariff reductions for Category B products are set to begin in January 2026, albeit finalisation of the 3% exclusion list is yet to be achieved. Finalising the full STCs is a key priority in 2025 to reach the goal of 97% tariff liberalisation under Categories A and B. The 15th meeting of Council of Ministers urged State Parties yet to submit their schedules of tariff concessions for categories A, B and C to do so with a view to fast-tracking the submission of full Schedules of Tariff Concessions by the end of October 2025, taking into account the need to conclude the outstanding rules of origin.

5. Pursuant to the Directive of the Council of Ministers on promoting transparency in trade, the Secretariat has received gazette notices from 24 State Parties that have completed the domestication process for the implementation of the AfCFTA thus confirming their readiness to trade under AfCFTA regime. This is a monumental success, highlighting the eagerness of State Parties to trade under the AfCFTA framework.

ii. Rules of Origin (RoO)

6. Since the last meeting, the percentage of agreed tariff lines remains at 92.43% (including chapters 61 and 62) due to pending conclusion of negotiations on textiles and automotives rules of origin. Fostering speedy collective resolution on this matter will be crucial to unlocking cross-continental private sector investment in the Textiles and Automotive industries. In this context and in light of other key strategic matters, the 16th Meeting of the Council of Ministers directed the Secretariat to convene a ministerial retreat to, among others, consider the outstanding Rules of origin on Textiles and Automotive.

7. Concerning Textiles, significant progress has been achieved during the consultative meetings on the exceptions list for Chapters 61 and 62, which represent 27.14% of the tariff lines on textiles. Consideration of this matter consisted of the reduction of the exceptions list tariff lines as requested by State Parties and further consideration of the scope of the exceptions list and the productive capacity of the State Parties. Therefore, to facilitate the conclusion of the outstanding negotiation on rules of origin, the Ministers may consider recalling their decision in their 15th meeting to apply Process Rule on tariff lines on natural fibres and CTH on tariff lines on man-made fibres and synthetic fabrics, based on their productive capacity.

8. For the Automotive rules of origin in respect of Chapter 87 of the HS Nomenclature, the chapter rule has been agreed, as well as for HS 8702, HS 8709, HS 8714, HS 8715 and HS 8716. Therefore, to facilitate the conclusion of outstanding Automotive rules of origin, the Ministers may consider recalling the proposal from the Task Force on Automotive to apply:

- a. **For Headings 8701 to 8708: *Manufacture in which the value of all non-originating materials used does not exceed 60% of the ex-works price of the product, subject to review after 5 years based on the report of the Automotive Task Force to the Council of Ministers;***
- b. **For Headings 8709 to 8716: *Manufacture in which the value of all the non-originating materials used does not exceed 65% of the ex-works price of the product, subject to review after 5 years based on the report of the Automotive Task Force to the Council of Ministers.***

iii. Non-Tariff Measures (NTMs)

9. The Secretariat has made progress in facilitating the reduction and elimination of Non-Tariff Barriers (NTBs) and promoting regulatory alignment through the following initiatives endorsed by the Member States:

- a. Launched the African Technical Regulatory Framework (ACTReF) and developed a draft Mutual Recognition Agreement (MRA) for conformity assessments.
- b. Enhanced visibility and uptake of the NTBs Online Reporting Mechanism, alongside the launch of a mobile application. The number of registered users on the AfCFTA NTB Online Mechanism has increased from 933 in 2023 to 1,568 as of June 2025, representing a growth of approximately 68%.
- c. Hosted the Fourth Subcommittee Meeting on NTBs and the first RECs NTBs Coordination Meeting in Lomé.

10. The Secretariat has facilitated the resolution of several NTB cases across State Parties. As of June 2025, a total of 30 Non-Tariff Barriers (NTBs) have been registered on the AfCFTA NTB Online Mechanism. Of these, 47% have been resolved, and 23% are currently undergoing a consultative process for resolution. 30% of the reported NTBs have been referred to the relevant Regional Economic Communities (RECs) for follow-up, representing strong and growing collaboration between the AfCFTA and RECs.

C. PROTOCOL ON TRADE IN SERVICES

11. Under Trade in services some progress as outlined below was recorded in advancing the implementation of the Protocol on Trade in Services.

i. Schedules of Specific Commitments (SSCs)

12. Substantial progress has been made in finalising SSCs across the five priority services sectors (i.e., Business, Communication, Financial, Tourism, and Transport services). A total of 24 SSCs have been adopted, including the latest being from Botswana and Comoros, which were adopted at the 38th Ordinary Session of the African Union (AU) Assembly of Heads of State and Government in February 2025. Morocco's SSC was endorsed by the Council of Ministers responsible for trade and is expected to be adopted at the next session of the Assembly. Meanwhile, Angola's schedule is nearing completion.

13. Regarding the submission of initial offers, the Secretariat has received Madagascar's initial offer and is supporting and working closely with the Saharawi Republic to submit its first offer. The Secretariat continues to encourage State Parties in respect of their adopted SSCs, to focus on timely implementation, while also providing ongoing technical support for the finalisation of outstanding schedules.

ii. Regulatory Frameworks and Mutual Recognition Agreements (MRAs) Development

14. Following consultations, revised draft regulatory frameworks for Financial and Communication Services were submitted in January 2025 and subsequently considered in March and April 2025. These drafts have been critically reviewed since their development in 2022. It is expected that both regulatory frameworks, along with

the drafts for Transport and Tourism Services, which have also been developed and are currently under consideration, will be finalised and endorsed by the Council of Ministers responsible for trade in October 2025. These frameworks aim to establish a predictable, harmonised, and enabling regulatory environment for cross-border trade in services. The Secretariat has also initiated the development of guidelines to support the negotiation and conclusion of Mutual Recognition Agreements (MRAs) for professionals and regulatory bodies in services sectors. These guidelines are intended to provide a structured framework to assist State Parties in facilitating cross-border recognition of qualifications, licensing, and professional standards.

iii. Negotiations in the Remaining Seven (7) Services Sectors

15. Comprehensive sector studies in the seven (7) additional services sectors—Construction, Distribution, Education, Energy-Related Services, Environmental, Health, and Recreational, Cultural and Sporting Services (RCS) are at various stages of completion. To this end, the studies in Education, Environmental, Health, and Recreational, Cultural and Sporting sectors have already been completed. Stakeholder Engagement Workshops on the completed studies have been convened to foster inclusive dialogue, gather stakeholders' inputs, and identify opportunities, challenges, and policy considerations relevant to liberalisation efforts in each of the sectors. These studies are intended to serve as foundational documents to inform and guide future negotiations under the AfCFTA.

iv. Implementation of the Protocol on Trade in Services

16. Several initiatives are planned and underway to advance the implementation of the Protocol on Trade in Services. These include the annual Forum on Tourism, Cultural, and Creative Industries (scheduled to take place in Accra in November 2025) and the development of sector-specific programmes to support implementation and empower SMEs, especially youth and women. In transport and logistics, the Secretariat is collaborating with key stakeholders (e.g. AFRAA, AFCAC, AUC) to implement the Single African Air Transport Market (SAATM).

D. PROTOCOL ON INTELLECTUAL PROPERTY RIGHTS (IPR)

17. Following the adoption of the AfCFTA Protocol on Intellectual Property Rights by the 36th Ordinary Session of AU Assembly on 18 Feb 2023, the AfCFTA Secretariat, in line with Decision Assembly/AU/Dec.854(XXXVI) immediately developed the nine Annexes to the Protocol on IPR, namely on: the AfCFTA IP Office, Marks, Industrial Designs, Patents, Utility Models, Copyright and Related Rights, Geographical Indications, Plant Variety, Traditional Knowledge, Traditional Cultural Expression and Genetic Resources.

18. The AfCFTA IPR Ecosystem established under the Protocol on IPR paves the way for the development of regional value chains, local manufacturing of pharmaceutical products in Africa, emergence of a robust creative and cultural industry sector driven by innovative creators, as well as for opportunities to leverage the economic and industrial potential of our traditional knowledge, traditional cultural expressions, and genetic resources to transform our local heritage into valuable assets for trade and investment on the continent.

19. The Secretariat is therefore developing a set of legal, informational and institutional tools to support the efficient and harmonious implementation of the Protocol on IPR, including the establishment of key cooperation frameworks with strategic partners on IPR, the AfCFTA Observatory on IPR, the AfCFTA IPR Marketplace and the development of the 2025 AfCFTA IPR Annual Report.

20. The IPR negotiations of the nine Annexes launched in Abidjan in Cote d'Ivoire last April, are expected to be concluded as directed by the Decision Assembly/AU/Dec.911(XXXVIII) of the 38th Ordinary Session in 2025, by October 2025, with these Annexes being recommended for adoption by the 39th Ordinary Session in 2026. Concurrently, it is also expected to conclude on the rationalisation of the institutional governance of the Intellectual Property Rights on the continent as directed by the Decision Ext/Assembly/AU/Dec.2(XVII) and to report back to the policy organs for recommendation to the 39th Ordinary Session in 2026 for decision.

E. PROTOCOL ON COMPETITION POLICY

21. Since the adoption of the Protocol on Competition Policy, significant progress has been made in finalising the ministerial regulations for its implementation. These regulations, covering mergers and acquisitions and dominant position as well as the institutional framework, will be submitted to the Council of Ministers' adoption by October 2025. The Council of Ministers is also expected to launch the selection process of the host country for both the Competition Authority and the Tribunal with a view to operationalising these bodies in line with the roadmap adopted by the Assembly.

SECTION TWO: STATUS OF AfCFTA IMPLEMENTATION

A. THE AfCFTA GUIDED TRADE INITIATIVE

22. The Guided Trade Initiative (GTI) expanded from 7 to 39 participating countries, demonstrating a strong commitment to intra-African trade. The Secretariat led outreach missions and capacity-building efforts across the continent, engaging hundreds of public and private stakeholders. Over 1,200 Certificates of Origin were issued, reflecting active trade in diverse products.

23. Ghana, Egypt, Rwanda, The Gambia, Chad and Kenya established national AfCFTA Trading Companies to support MSME integration. Key lessons from GTI include the importance of trade finance, logistics improvements, and business-to-business engagement.

24. Having achieved its objectives, the GTI has concluded. Its impact will be sustained through AfCFTA structures, and future engagement will be strengthened through the Biashara Africa Project.

B. BIASHARA AFRIKA

25. The AfCFTA Secretariat and the Togolese Government will co-host *Biashara Afrika 2025* from 6 to 8 October in Lomé, Togo. The event will spotlight investment and trade opportunities, foster public-private dialogue, and promote partnerships through exhibitions and B2B networking. Key objectives include co-developing a roadmap for private sector engagement, advancing AfCFTA-aligned initiatives, and encouraging commercially beneficial outcomes through AfCFTA-enabled policy and industrial reforms.

26. Expected outcomes:

- a. A Private Sector Roadmap document developed and adopted;
- b. Digital tools like the AfCFTA Private Sector and Smart AfCFTA platforms launched;
- c. New partnerships and MoUs signed;
- d. Increased investor engagement through matchmaking.

27. Following the Guided Trade Initiative, the Secretariat has been tasked with launching the broader *Biashara Afrika Programme*, aimed at boosting intra-African trade through missions, roadshows, and capacity building.

28. The Programme goals include:

- a. Boosting trade and investment;
- b. Enhancing MSME competitiveness;
- c. Building business networks; and
- d. Deepening regional economic integration.

29. The programme will be implemented in phases, with the AfCFTA Private Sector Platform as its core engagement tool.

C. WOMEN AND YOUTH IN TRADE

30. To advance the Protocol on Women and Youth in Trade, the AfCFTA Secretariat has developed an evidence and results-based work plan for the implementation of the Women and Youth in Trade Protocol. This will ensure tangible programmes aimed at creating jobs based on the AfCFTA legal framework.

31. These efforts highlight the Secretariat's commitment to ensuring that the Protocol yields commercially beneficial outcomes for women and youth across the continent. The upcoming 10th Committee Meeting on Women and Youth in Trade will be pivotal in consolidating the implementation efforts of the Protocol and advancing the conclusion of negotiations on the Ministerial Regulation as part of the legal architecture of the Protocol.

D. DIGITAL TRADE

32. Following the adoption of eight Annexes to the Protocol on Digital Trade, the AU Assembly appointed H.E. Bola Ahmed Tinubu, President of the Federal Republic of Nigeria, as Co-Champion on Digital Trade, alongside Kenya and South Africa. At

the occasion of the 16th Meeting of the Council of Ministers of Trade, the Hon. Minister of Trade of Nigeria, in her representative capacity as Co-Champion, presented the digital trade implementation strategy. The strategy outlines key priorities and areas of work for the effective implementation of the Protocol. It is expected that pilot projects will be rolled out across the continent, underpinned by a resource mobilisation drive. The implementation of the Protocol is expected to revolutionise trade across Africa and complement the effective implementation of other AfCFTA legal instruments, ranging from goods to services.

33. The inaugural Digital Trade and Services Forum was successfully conducted from 8 to 10 May 2025 in Lusaka, Zambia, under the Patronage of His Excellency Hakainde Hichilema, President of the Republic of Zambia, and attended by His Excellency Duma Boko, President of the Republic of Botswana, underscoring the high level of priority accorded to digital trade. The Forum issued a Call to Action setting out key measures necessary for the beneficial implementation of the Protocol.

E. CUSTOMS UPDATE

34. The Secretariat has continued to lead coordinated efforts to enhance customs cooperation, facilitate transit, and drive trade efficiency under the AfCFTA framework. A key milestone in this regard was the successful convening of the 9th Meeting of the Subcommittee on Trade Facilitation, Customs Cooperation, and Transit, held alongside the 9th Meeting of AfCFTA Directors General/Heads of Customs in Kinshasa, Democratic Republic of Congo. These meetings provided a platform to assess ongoing activities and advance the simplification, harmonisation, and modernisation of customs procedures to reduce border delays and enable the seamless movement of goods.

35. Acting on the recommendations from the Heads of Customs, the 16th Meeting of the Council of Ministers adopted key instruments, including the Draft AfCFTA Regulations for the Establishment of a Continental Transit Guarantee System, the AfCFTA Transit Document, and an accompanying implementation roadmap. These developments represent a major milestone by laying the groundwork for a single bond guarantee scheme across the continent. The next phase will involve engaging national stakeholders, financial institutions, and insurance providers to support the full operationalisation of the scheme.

36. In line with the AfCFTA's commitment to digital trade facilitation, the Secretariat has made substantial progress in advancing the digitalisation of trade processes, aligning with the strategic objective of reducing trade barriers and fostering intra-African trade. Highlights include progress on the Continental Electronic Certificate of Origin (e-CO), where both the Business Process Architecture and System Architecture have been finalised. These were informed by benchmarking missions to COMESA, EAC, and SADC. Additionally, a draft legal framework to govern the system has also been completed, setting a solid foundation for continent-wide integration.

37. The Secretariat is also strengthening its engagement with strategic partners (DHL) to leverage technical expertise and logistical infrastructure. This includes the development of a technical note and joint work plan in preparation for signing a memorandum of understanding in the third quarter. In the maritime domain,

preparatory work is underway to recruit consultants to design a Continental Maritime Transport Strategy and undertake a feasibility study on establishing Africa-to-Africa maritime transport lines - a strategic initiative aimed at improving continental connectivity.

38. Infrastructure development remains central to the Secretariat's work. The Ras-Jedir Border Post project has progressed to the proof-of-concept stage. Engagements are planned with Africa50 and Tunisian authorities to define project modalities and implementation steps. Parallel to this, engagement of experts to develop a Continental Regulatory Framework for One-Stop Border Posts (OSBPs) is underway. Some Member States are also piloting No-Stop Border Post models, which offer innovative approaches to enhancing trade flow under the AfCFTA.

39. Recognising the importance of stakeholder awareness and institutional capacity, the Secretariat is actively planning targeted training and outreach campaigns. This includes upcoming activities along the Abidjan–Lagos Corridor and at Kasumbalesa Border Post, and a regional seminar on transit implementation in the North Africa Corridor. Preparations include the development of detailed concept notes, draft programmes, and budgeting. Additionally, progress continues on the Corridor Management Guidelines, and consultant engagements have been initiated for several key instruments, including the Simplified Trade Regime (STR) framework, AEO Guidelines, and the Continental Single Window Strategy.

40. The Secretariat has also finalised a Customs Capacity Building and Training Strategy, guided by a continental training needs assessment, which identified significant skill gaps. Based on this, the Secretariat has implemented specialised training sessions across key themes such as Transit Operations, Rules of Origin, Special Economic Zones, AEOs, and Single Window Systems. These efforts have strengthened collaboration among customs and its stakeholders across the continent. Work is underway to develop a training curriculum for the private sector and a joint training programme with African customs training institutions.

41. Lastly, to ensure sustainability and institutional resilience, the Secretariat is investing in Training-of-Trainers (ToT) initiatives and has developed a performance measurement tool to monitor training outcomes. Partnerships with institutions such as Afreximbank, WCO, and UNCTAD continue to underpin technical and regulatory advancements. Notably, the Secretariat and Afreximbank have finalised a Regulatory Framework for a Continental Transit Guarantee Scheme, based on the COMESA model, to streamline procedures and reduce delays. Since March 2024, 202 customs professionals from across the continent have received training. These efforts reflect the Secretariat's clear objective: to build a skilled, integrated, and future-ready customs and trade facilitation community that drives the AfCFTA's transformative vision.

F. THE AfCFTA IMPLEMENTATION REVIEW MECHANISM (AFIRM)

42. On AFIRM, Sierra Leone has completed a readiness assessment for AfCFTA implementation, providing valuable insights into the country's current capacity status, gaps, and strategies for improvement. The assessment is in its final phase and will be officially launched at Sierra Leone's upcoming national AfCFTA Conference.

43. Similar assessments are ongoing in Burundi, Kenya, Rwanda, Uganda, the United Republic of Tanzania (URT), the Comoros, and Cabo Verde. Starting January 2026, the Secretariat will support a minimum of 10 State Parties annually in conducting these reviews, as mandated by the Ministerial Directive on AFIRM.

44. To ensure quality and technical soundness, a group of distinguished African experts has been appointed to help develop assessment tools, following the Terms of Reference adopted by the Council in November 2024.

G. NATIONAL IMPLEMENTATION COMMITTEES (NICs)

45. The Council of Ministers, at its 16th meeting held in Kinshasa, adopted the Terms of Reference for the Committee on National Implementation Committee (NIC) Focal Persons. The Secretariat has been mandated to finalise the draft Work Plan for the Committee and submit it for consideration.

46. As the AfCFTA shifts from negotiation to the full implementation phase, NICs play a key role in managing and coordinating the national-level execution of AfCFTA commitments. Currently, 33 State Parties¹ have established or designated NICs. In addition, 47 State and non-State Parties² and 6 Regional Economic Communities (RECs)³ have completed their AfCFTA National Implementation Strategies with development partner support. The Secretariat will now assist in the next phase, which will be to support State Parties in developing action-oriented implementation and work plans that turn these strategies into clear, measurable national steps for AfCFTA rollout. To support this activity, peer learning tours for the NICs and developing a standard reporting and monitoring tool on implementation are planned for this year.

H. AfCFTA PROTOCOL ON INVESTMENT

47. The AfCFTA Protocol on Investment is a binding legal instrument adopted in February 2024. It is integral to the AfCFTA Agreement and aims to promote, facilitate, and protect intra-African investments that foster sustainable development, while establishing a balanced and transparent framework. Following its adoption, countries have begun the process of implementation, supported by the AfCFTA Secretariat.

48. Negotiations for the Draft Annex on the Rules and Procedures for the Prevention, Management, and Resolution of Disputes to the Protocol on Investment are ongoing. While significant progress has been made, a request by 5 Member States on the inclusion of Investor-State Arbitration (ISDS) in the Annex constitutes an area of ongoing negotiations. Notwithstanding this, the Assembly, at its 38th Ordinary Session, directed the Council of Ministers to finalise negotiations on the Annex on

¹ Algeria, Angola, Burundi, Cabo Verde, Cameroon, Central African Republic, Chad, Comoros, Congo, Cote d'Ivoire, DRC, Djibouti, Egypt, Eswatini, Ethiopia, Gabon, The Gambia, Ghana, Kenya, Malawi, Mauritius, Morocco, Namibia, Nigeria, Rwanda, Sao Tome and Principe, Senegal, Seychelles, Sierra Leone, South Africa, Togo, Tunisia, and Zambia.

² Algeria, Benin, Burkina Faso, Burundi, Cabo Verde, Cameroon, Central African Republic, Chad, Comoros, Congo, Cote d'Ivoire, DRC, Djibouti, Egypt, Equatorial Guinea, Eswatini, Gabon, The Gambia, Ghana, Guinea, Guinea-Bissau, Kenya, Liberia, Libya, Madagascar, Malawi, Mali, Mauritania, Mauritius, Morocco, Mozambique, Namibia, Niger, Nigeria, Rwanda, Sao Tome and Principe, Senegal, Seychelles, Sierra Leone, Somalia, South Sudan, Tanzania, Togo, Tunisia, Uganda, Zambia, Zimbabwe.

³ EAC (2022), IGAD (2022), ECOWAS (2023), UEMOA (2023), ECCAS (2024), and UMA (2024).

Rules and Procedures for the Prevention, Management, and Resolution of Disputes to the Protocol on Investment by its next session in February 2026. State Parties have also been urged to expedite these negotiations. In this regard, the AfCFTA Secretariat will facilitate State Parties' efforts to conclude negotiations in line with standing directives.

The AfCFTA Protocol on Investment Implementation and Support Programme (PIISP)

49. The AfCFTA Secretariat has established the PIISP to support State Parties and RECs in effectively implementing the Protocol on Investment. The programme provides technical assistance, policy alignment, institutional strengthening, and capacity building. Its key objectives include harmonising national frameworks, promoting sustainable and predictable investment environments, and supporting climate-aligned investment. Core activities include awareness-raising, gap analyses, development of an Investment Portal, facilitation of bankable projects, stakeholder engagement, and resource mobilisation.

Implementation of the AfCFTA Protocol on Investment: Key Progress and Strategic Priorities Based on Requests Received

- i. Policy and Legal Alignment: Over 20 State Parties have received support for legal and regulatory alignment through technical assistance and capacity building. This includes conducting Gap analyses and providing recommendations for revising national frameworks and the regional operationalisation of the Protocol. Notable support has been extended to the Southern African Development Community (SADC) and the Economic Community of Central African States (ECCAS).
- ii. Designation of National Focal Points (NFPs): Guidelines have been issued to support the designation of NFPs in line with Protocol obligations and the directives of the 16th Council of Ministers. The NFPs serve as key contact points for investors, providing access to legal and policy information.
- iii. Investment Promotion and Facilitation: State Parties were encouraged to streamline procedures and establish One-Stop Shops. Eswatini has operationalised its Business One-Stop Shop. The Secretariat has also raised awareness of the Protocol.
- iv. Sustainable Development and Climate Integration: Investments under the Protocol are required to support sustainable development. The Secretariat leads the implementation of the Africa Green Industrialisation Initiative (AGII) and convenes high-level technical engagements, including strategic support to integrate climate and green growth objectives into national strategies.

I. CLIMATE-RELATED INITIATIVES AND IMPLEMENTATION

50. Building on the 2023 African Leaders' Nairobi Declaration on Climate Change, which highlighted Africa's potential in areas like renewable energy and critical minerals, the AGII was launched at COP28 in 2023. AGII was formally endorsed by the African Union in February 2025. The Initiative aims to accelerate green industrialisation across Africa to drive decarbonisation, boost economic development,

and create jobs, positioning the continent as a global hub for green manufacturing. It focuses on sectors and industries with 'climate competitiveness', including renewable energy, value addition to critical minerals and metals, green hydrogen production, sustainable synthetic fuels, low-carbon cement, climate-resilient agriculture, and labour-intensive manufacturing leveraging renewables.

51. AGII adopts a strategic pan-African approach, employing a cluster-based method to operationalise its action plan by identifying and developing mutually reinforcing groups of opportunities. This aims for a continent-wide economic transformation beyond individual projects. AGII is overseen by a governance structure, including a Steering Committee (Heads of State) and a Technical Committee (ministers/senior officials). The AGII Secretariat drives and coordinates activities.

52. A crucial aspect of AGII is mobilising finance and addressing critical gaps. A high-level consultative meeting was held on June 6, 2025, in Nairobi, chaired by H.E. President William Ruto, bringing together African financial institutions to discuss the designing of a financing framework for priority green industrial clusters. A draft cooperation framework was shared to be considered by participating institutions, including the African Development Bank (AfDB), Africa Export-Import Bank (Afreximbank), Africa50, Africa Finance Corporation (AFC), African Commercial Banks, and private sector partners. This framework establishes a foundation for coordinated financial and technical support, aiming to mobilise and structure finance, align efforts with African-led initiatives like AfCFTA, foster innovation in financing tools (e.g., blended finance, green bonds, concessional capital), and advance bankable green investments. Key objectives include investment mobilisation and the development of bankable project pipelines.

53. The AfCFTA Secretariat has been mandated by the African Union to support the implementation of AGII. The Secretariat participates in and coordinates AGII initiatives and is working to integrate climate goals into trade and investment policies. This aligns with Article 26 of the AfCFTA Protocol on Investment, which promotes climate-conscious investment policies. State Parties were encouraged to promote climate and commercial competitiveness by developing priority clusters and aligning national policies to support green industrialisation, critical minerals strategies, and innovative financing tools like carbon markets.

54. Climate change is recognised as a key challenge that should be addressed, particularly regarding its possible impact on intra-African trade and investment. Ministerial discussions have initiated the process of developing a common position on this matter, based on the Nairobi Declaration.

J. OTHER KEY 38TH SUMMIT DECISIONS ON AfCFTA TO BE IMPLEMENTED

55. The Assembly raised concerns on non-implementation of its decisions concerning 2.9 million USD from the 2021 operational balance and directed the African Union Commission to reinstate the 2.9 million USD, as previously approved, and to source it from the Reserve Fund. This is critical for the AfCFTA Secretariat in order to discharge its operational and functional mandate, particularly as the AfCFTA transitions from negotiations to an implementation phase.

56. The transition of AfCFTA from the negotiation to the full implementation phase will require the rationalisation and strengthening of the Secretariat's organisational capacity to ensure it is fit for purpose in benefiting Member States, whilst aligning with the anticipated demands for implementing the AfCFTA Agreement. This rationalisation will enhance efficiency, improve coordination, and support the delivery of key programmes and activities under the AfCFTA framework.

57. The Assembly, during its 37th Ordinary Session, previously directed the Secretariat to take necessary measures to commence the review of the Agreement in accordance with Articles 28 and 29. The review process provides an opportunity for the State Parties to assess the impact of the AfCFTA and propose adjustments to the Agreement that are essential for its efficient and effective implementation. Since the mandate to initiate the review process rests with the AfCFTA State Parties, supported by the Secretariat, the Secretariat has invited State Parties to submit their proposals and suggestions regarding the review process. Furthermore, the Secretary-General of the AfCFTA Secretariat has established a Taskforce on the AfCFTA Mandatory Review to initiate a work programme that will inform, support, and facilitate the efforts of the State Parties concerning the impending review.

SECTION THREE: STAKEHOLDER/PRIVATE SECTOR ENGAGEMENTS AND COLLABORATION WITH RECs

A. STAKEHOLDER/PRIVATE SECTOR ENGAGEMENTS

58. The AfCFTA Secretariat, together with the Government of Rwanda and AGRA's support, has drafted the continental Agri-Trade Action Plan to boost intra-African agri-food trade, enhance regional value chains, and develop agro-industries. It identifies high-potential value chains to improve food security, promote import substitution, and integrate regional markets.

59. Following recommendations from the 20th AfCFTA STOs Meeting in Kinshasa, the Secretariat is updating the AfCFTA Agri Trade Action Plan with three main clusters: (1) expanding its scope to include more value chains, technical analysis, policy alignment, and M&E framework; (2) consulting broadly with relevant stakeholders, especially in agriculture; and (3) establishing a dedicated financing mechanism. The work has been commissioned, with outcomes to be presented to the AfCFTA STOs in October 2025.

60. With the support of the MasterCard Foundation, a Dedicated Private Sector Unit (AfCFTA PSU) has been established to coordinate and implement the AfCFTA Private Sector Strategy. The recruitment for eight staff positions has been completed. In this regard, the PSU is collaborating with TradeMark Africa (TMA) to advance the implementation of the Women and Youth Economic Empowerment in Fisheries programme in six pilot countries: Nigeria, Uganda, the United Republic of Tanzania, and Zambia. Additionally, efforts are underway to support several island nations, including Cape Verde and the Comoros.

61. In the automotive sector, executive training courses supported by Afreximbank and OEMs are being conducted in South Africa to develop a competitive continental

value chain. The first short course for executives was successfully completed from 5-9 May 2025 in Durban, South Africa, with the second leg scheduled for 7-11 July 2025 in Gqeberha (formerly Port Elizabeth), South Africa.

62. The Secretariat also progressed on a continental strategy for textiles and apparel, with a revised action plan set to be discussed at an upcoming Ministerial Retreat.

B. COLLABORATION WITH RECs

63. The AfCFTA Secretariat convened a Coordination Meeting with the Regional Economic Communities (RECs) to facilitate the harmonisation of the AfCFTA Agreement with existing REC treaties and legal instruments. The Meeting underscored the importance of enhancing collaboration between the Secretariat and the RECs and recommended the development of a matrix on technical areas of collaboration. Among the key priorities identified were the alignment of AfCFTA implementation strategies at the REC level, the operationalisation of key instruments under the AfCFTA framework, such as certificates of origin and the establishment of a community of practice to foster peer learning and knowledge exchange.

64. The Meeting also encouraged consideration of the establishment of regional AfCFTA Trading Companies in collaboration with Business Councils or Associations. Regarding partner engagement, participants called for a harmonised approach to joint initiatives and advocated for the early and sustained involvement of the Secretariat and RECs in the design and evaluation of relevant programmes based on the matrix of issues identified. Additional recommendations included the refinement of monitoring and evaluation tools, the active participation of RECs in the AfCFTA Implementation Review Mechanism (AFIRM) Ad Hoc Committee, and conducting a readiness assessment for RECs and their member states. These efforts are anchored on Article 5 of the AfCFTA Agreement, which recognises RECs as the foundational building blocks of the continental free trade framework.

SECTION FOUR: OUTCOMES OF THE COUNCIL OF MINISTERS MEETING

65. The 16th Ministerial Council of Ministers yielded the following outcomes:

- a. Adoption of Morocco's Draft Schedule of Specific Commitments and urged Angola to resolve pending issues.
- b. The Council urged State Parties to finalise and submit their commitments for verification and adopt the Regulatory Frameworks on Financial and Communication Services, while completing frameworks for Tourism and Transport Services by October 2025.
- c. Urged State Parties to accelerate the development of guidelines for the AfCFTA Mutual Recognition Arrangements (MRAs) and commence negotiations in seven additional services sectors.
- d. The Secretariat is directed to continue supporting State Parties in implementing the Protocol on Trade in Services, including assisting with the finalisation and gazettment of commitments and the validation of regulatory audits. State Parties are encouraged to identify capacity-

building needs and request technical assistance to implement the Protocol.

- e. The Secretariat is directed to coordinate technical support to avoid duplication and ensure alignment with AfCFTA objectives, particularly for the Protocol on Investment. State Parties should submit formal requests for support and expedite negotiations on the draft annex for investment dispute resolution.
- f. The Council encouraged member states to promote climate and commercial competitiveness by developing priority clusters in sectors like renewable energy and green hydrogen, including low/zero-carbon Special Economic Zones. State Parties were encouraged to align their national policies to support green industrialisation, critical minerals strategies, and innovative financing tools such as carbon markets.
- g. The Committee on Women and Youth in Trade to finalise the Ministerial Regulation for adoption by October 2025.
- h. The Council approved the establishment of an Ad Hoc Committee to initiate the review process of the Agreement, in line with Articles 28 and 29 of the Agreement, directed the Secretariat to prepare Draft Terms of Reference of the Ad Hoc Committee and a proposed roadmap of the review for approval, and urged State Parties to finalise their internal consultations and to submit their proposals and suggestion on the review process to Secretariat by 31 July 2025.

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